

| Assessment | Test | Domain                            | Skill       | Difficulty                                        |
|------------|------|-----------------------------------|-------------|---------------------------------------------------|
| SAT        | Math | Problem-Solving and Data Analysis | Percentages | Easy <div><div></div><div></div><div></div></div> |

Question

A table of the US minimum wage for 6 different years is shown below.

| Year | US minimum wage (dollars per hour) |
|------|------------------------------------|
| 1960 | 1.00                               |
| 1970 | 1.60                               |
| 1980 | 3.10                               |
| 1990 | 3.80                               |
| 2000 | 5.15                               |
| 2010 | 7.25                               |

What was the percent increase of the minimum wage from 1960 to 1970?

Answer

- A. 30%
- B. 60%
- C. 62.5%
- D. 120%

Correct Answer: B

Rationale

Choice B is correct. According to the table, the minimum wage in 1960 was \$1.00 per hour, and in 1970 it was \$1.60 per hour. The percentage change is therefore  $100\left(\frac{1.60 - 1.00}{1.00}\right) = 60\%$ .

Choice A is incorrect and may result from averaging the two wages before calculating the percentage change. Choice C is incorrect. This is the 1960 wage expressed as a percentage of the 1970 wage, not the percentage change between the two. Choice D is incorrect and may result from a calculation error.